Practice workbook · Evaluating profitability using ratios

Interpreting movements in profitability ratios over two or three periods, suggesting causes and reaching a judgement on performance or on someone's claim.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-FS-08

1. Question 1 · part c.ii · 5 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part c.ii only.

1 (a) State, indicating with a tick (✓), where each item will be shown in the financial statements of a manufacturer.

(6)

	Manufacturing account		Income statement	
	Prime cost	**Factory overheads**	**Income**	**Expenditure**
Wages – production staff				
Wages – office staff				
Wages – factory supervisor				
Carriage outwards				
Decrease in provision for irrecoverable debts				
Royalties paid				

Bella and Chand are in partnership sharing profits and losses equally. They provided the following information at 30 September 2022.

	$
Capital Accounts	
Bella	50 000
Chand	50 000
Current Accounts	
Bella	10 500
Chand	3 450
Property, plant and equipment	
Cost	65 000
Provision for depreciation	18 050
Provision for irrecoverable debts	380
Bank	4 775
Inventory	38 800
Other payables	430
Petty cash	125
Trade payables	3 490
Trade receivables	27 600

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1. Question 1 · part c.ii · 5 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part c.ii only.

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(b) Prepare the statement of financial position at 30 September 2022.

(12)

Bella and Chand
Statement of financial position at 30 September 2022

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P 6 5 8 8 7 A 0 3 0 8

1. Question 1 · part c.ii · 5 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part c.ii only.

(c) (i) State the formula for **each** ratio.

(2)

Ratio	Formula	2021	2022
Profit for the year as a percentage of revenue		15%	18%
Return on capital employed		7%	5%

(ii) Evaluate the change in profitability from 2021 to 2022.

(5)

(Total for Question 1 = 25 marks)

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1. Question 1 · part c.ii · 5 marks · Working and answer

Working and answer

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2. Question 2 · part c · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part c only.

2 (a) State which accounting concept applies in **each** scenario.

(3)

Scenario	Accounting concept
Adjusting expenses for other receivables	
Creating a provision for irrecoverable debts	
Recording goods taken for personal use	

(b) Define the terms:

(i) profitability

(1)

(ii) liquidity. (1)

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2. Question 2 · part c · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part c only.

A business provided the following information.

Ratio	2018	2017
Gross profit percentage	23.50%	20.00%
Profit for the year as a percentage of revenue	15.97%	12.47%
Current (working capital) ratio	2.89:1	1.75:1
Liquid (acid test) ratio	1.57:1	0.87:1

(c) Evaluate the performance of the business over the two years.

(5)

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2. Question 2 · part c · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part c only.

(d) Identify, indicating with a tick (✓), which statements are true or false in the absence of a partnership agreement according to section 24 of the Partnership Act 1890.

The first one has been completed as an example

(4)

	True	False
Profits and losses are shared equally	✓	
5% interest on capital		
No interest on drawings		
5% interest on partners' loan		
All partners receive a salary		

(e) Discuss the need for a partnership to prepare different accounts from those prepared by a sole trader.

(6)

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2. Question 2 · part c · 5 marks · Working and answer

Working and answer

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3. Question 2 · part c · 5 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

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2 Taimur and Soha are in partnership. The partnership agreement provided for:

- interest on capital at 10% per annum
- interest on drawings at 5% per annum
- an annual salary of $15 000 for Taimur
- profits and losses to be shared in the ratio of 3 : 2.

The following information was available at 31 March 2020.

	Taimur $	Soha $
Capital account at 1 April 2019	75 000	50 000
Current account at 1 April 2019	4 750 Dr	3 500
Drawings for the year	20 000	16 000

(a) Prepare the appropriation account for the year ended 31 March 2020.

(7)

Taimur and Soha
Appropriation account for the year ended 31 March 2020

	$
Profit for the year	65 000

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3. Question 2 · part c · 5 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

(b) (i) Prepare the current account of Taimur for the year ended 31 March 2020.
Balance the account on this date and bring the balance down on 1 April 2020.

(6)

Current Account – Taimur

Date	Details	$	Date	Details	$

(ii) State **one** reason why a debit balance may arise on a partner's current account.

(1)

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3. Question 2 · part c · 5 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

The partners believe that they had a very successful year as the profit for the year as a percentage of revenue has increased.

	2019	2020
Gross profit percentage	25%	25%
Profit for the year as a percentage of revenue	12%	15%
Return on capital employed	13.5%	10%

(c) Evaluate the change in profitability of the business over the two years and state whether the partners are correct.

(5)

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3. Question 2 · part c · 5 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) State, indicating with a tick, (✔), the effect on working capital of **each** of the following transactions.

(6)

Transaction	Increase	Decrease	No effect
Purchase of a non-current asset by cash			
Sale of a non-current asset on credit			
Non-current asset taken by owner for own use			
Purchase of inventory on credit			
Sale of inventory for cash			
Inventory taken by the owner for own use			

(Total for Question 2 = 25 marks)

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3. Question 2 · part c · 5 marks · Working and answer

Working and answer

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4. Question 1 · part c · 5 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

1 Leo, a manufacturer, provided the following information for the year ended 31 March 2021.

	1 April 2020 $	31 March 2021 $
Premises		
Cost	500 000	500 000
Accumulated depreciation	100 000	**To be calculated**
Plant and machinery		
Cost	250 000	250 000
Accumulated depreciation	90 000	**To be calculated**
Inventory		
Raw materials	56 000	44 000
Work in progress	64 000	68 400
Finished goods	108 000	112 000
Carriage inwards on raw materials		1 300
Carriage outwards		2 100
Direct wages		82 400
Electricity		18 000
Factory insurance paid		9 000
Indirect factory expenses		79 500
Indirect wages paid		83 650
Other payables – indirect wages		1 350
Other receivables – factory insurance		500
Purchases of raw materials		167 500
Returns inwards		12 000
Returns outwards		17 500
Revenue		630 000
Royalties		15 000

Plant and machinery is depreciated at 20% per annum using the reducing balance method.

Premises are depreciated at 10% per annum using the straight line method.

Both electricity and depreciation on premises are apportioned 75% to the factory.

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4. Question 1 · part c · 5 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

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(a) Prepare the manufacturing account for the year ended 31 March 2021.

(15)

Leo
Manufacturing account for the year ended 31 March 2021

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4. Question 1 · part c · 5 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

(b) Prepare an extract of the income statement for the year ended 31 March 2021 showing the **trading section** only.

(5)

Leo
Income statement for the year ended 31 March 2021

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4. Question 1 · part c · 5 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

Leo believes that an increase in revenue for this year has led to an improvement in profitability, even though both his gross profit percentage and return on capital employed percentage have decreased.

(c) Evaluate whether Leo is correct.

(5)

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(Total for Question 1 = 25 marks)

4. Question 1 · part c · 5 marks · Working and answer

Working and answer

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5. Question 1 · part b.ii · 5 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

1 Dina, a manufacturer, prepared the following **incorrect** manufacturing account for the year ended 31 March 2022 from the **correct** balances in her trial balance.

Dina
Manufacturing account for the year ended 31 March 2022

	$	$
Revenue	385 000	
Depreciation charge – plant and machinery	11 200	
		373 800
Cost of sales		
Inventory of raw materials 31 March 2022	10 400	
Carriage outwards	360	
	10 040	
Purchases of raw materials	98 400	
Inventory of raw materials 1 April 2021	(9 640)	
		(98 800)
Prime cost		275 000
Factory overheads		
Royalties	1 780	
Insurance	4 000	
Electricity	9 750	
Factory rent	14 000	
Direct wages	38 400	
Indirect wages	(25 700)	
		(42 230)
Work in progress at 31 March 2022	4 430	
Work in progress at 1 April 2021	(4 200)	
Inventory of finished goods at 31 March 2022	5 850	
Inventory of finished goods at 1 April 2021	(6 750)	(670)
Production cost		232 100

Additional information

- No adjustment had been made for indirect wages owing of $1 300 and factory rent paid in advance of $2 000
- The depreciation charge did not include a full year's depreciation charge on a new machine costing $30 000. Machinery is depreciated at the rate of 20% per annum using the straight line method.
- Insurance and electricity should have been apportioned 80% to the factory and 20% to administration.

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5. Question 1 · part b.ii · 5 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

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(a) (i) Prepare the **corrected** manufacturing account for the year ended 31 March 2022.

(13)

Dina
Manufacturing account for the year ended 31 March 2022

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5. Question 1 · part b.ii · 5 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part b.ii only.

(ii) Prepare the income statement for the year ended 31 March 2022 showing the **trading section** only.

(4)

Dina
Income statement for the year ended 31 March 2022

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Dina stated that she did not have a successful year as her gross profit percentage decreased by 5%.

The following ratios were also available.

Ratio	31 March	
	2021	2022
Profit for the year as a percentage of revenue	7.56%	8.93%
Return on capital employed	14.85%	16.67%

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5. Question 1 · part b.ii · 5 marks

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Further practice · Attempt part b.ii only.

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(b) (i) State the formula for **each** ratio.

(3)

Ratio	Formula
Gross profit percentage	
Profit for the year as a percentage of revenue	
Return on capital employed	

(ii) Evaluate whether Dina is correct in her view that she did not have a successful year.

(5)

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(Total for Question 1 = 25 marks)

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5. Question 1 · part b.ii · 5 marks · Working and answer

Working and answer

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6. Question 2 · part d · 5 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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2 On 1 January 2022 Belen and Charo started a partnership with capital introduced of $80 000 and $90 000 respectively.

The partnership agreement provides for:

- profits and losses to be shared equally
- interest of 5% per annum on opening capital balances
- interest of 8% per annum on total drawings
- a salary of $2 000 per **month** for Charo.

(a) State **one** reason why a partnership agreement provides for:

(i) interest on capital

(1)

(ii) interest on drawings

(1)

(iii) partnership salary.

(1)

Profit for the year ended 31 December 2022 was $66 200 and the partners made the following drawings.

Partner	Cash drawings $	Goods taken for own use $
Belen	20 000	–
Charo	36 000	2 000

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6. Question 2 · part d · 5 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(b) Prepare the appropriation account for the year ended 31 December 2022.

(8)

Belen and Charo
Appropriation Account for the year ended 31 December 2022

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6. Question 2 · part d · 5 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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(c) Prepare the following accounts for the year ended 31 December 2022. Balance each account on this date and bring the balance down on 1 January 2023.

(8)

Capital Account – Charo

Date	Details	$	Date	Details	$

Current Account – Charo

Date	Details	$	Date	Details	$

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6. Question 2 · part d · 5 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

The partners provided the following information for the year ended 31 December 2022.

Ratio	Actual percentage	Budgeted percentage
Gross profit percentage	50%	60%
Profit for the year as a percentage of revenue	25%	20%

The partners believe that overall profitability has exceeded their expectations.

(d) Evaluate whether the partners are correct that profitability has exceeded their expectations.

(5)

(e) State **one other** profitability ratio.

(1)

(Total for Question 2 = 25 marks)

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6. Question 2 · part d · 5 marks · Working and answer

Working and answer

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7. Question 2 · part d · 5 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

2 (a) (i) Explain how the creation of a provision for irrecoverable debts is an application of the prudence concept.

(3)

(ii) Explain how the recording of goods taken by the owner is an application of the business entity concept.

(2)

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7. Question 2 · part d · 5 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

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Ruhi, a sole trader, provided the following information for the year ended 31 March 2025 after the preparation of the income statement.

	$
Bank loan (2029)	9 500
Bank overdraft	160
Drawings	32 300
Equity at 1 April 2024	23 900
Inventory	14 650
Non-current assets – carrying value	21 820
Other payables	1 380
Other receivables	330
Trade payables	8 660
Trade receivables	12 300

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Additional information

Profit for the year, $37 800, was before accounting for:

- rental income received in advance, $650
- goods taken for own use, $280
- an understatement of $400 on the depreciation charge
- the creation of a provision for irrecoverable debts at 2% of the trade receivables.

(b) Calculate the revised profit for the year ended 31 March 2025.

(5)

	$
Draft profit for the year	37 800
Rental income in advance	
Goods for own use	
Depreciation understated	
Provision for irrecoverable debts	
Revised profit for the year	

7. Question 2 · part d · 5 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

(c) Prepare the statement of financial position at 31 March 2025.

Ruhi
Statement of Financial Position at 31 March 2025

(10)

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7. Question 2 · part d · 5 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

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A Business provided the following ratios.

	Year ended 31 March		
Ratio	**2023**	**2024**	**2025**
Gross profit percentage	60%	60%	60%
Profit for the year as a percentage of revenue	40%	35%	30%
Return on capital employed	10%	12%	15%

(d) Assess the change in profitability over the three-year period.

(5)

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7. Question 2 · part d · 5 marks

2025 JUN · Paper 02

Further practice · Attempt part d only.

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(Total for Question 2 = 25 marks)

7. Question 2 · part d · 5 marks · Working and answer

Working and answer

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